Prospective Methods for Economic Decision-Making

Local Property-Tax Strategy in Marseille

1. Introduction

Municipalities in France face an increasingly constrained fiscal environment. The progressive suppression of the taxe d'habitation (TH) since 2018, cuts to state grants (DGF), and rising expenditure pressures have forced local governments to reassess their property tax strategies. For Marseille — France's second-largest city by population and one of its most socially heterogeneous — the taxe foncière sur les propriétés bâties (TFPB) has become the central pillar of local fiscal autonomy.

The City of Marseille must decide, over the next three years (2025–2027), which strategy to adopt to strengthen TFPB revenues. Three options are on the table: (i) a general rate increase, (ii) property-tax base modernisation and vacancy mobilisation, or (iii) a mixed strategy combining both levers. This decision is non-trivial: it involves significant uncertainty about macroeconomic conditions, national reform trajectories, and the responsiveness of property owners to policy interventions.

2. Decision Problem and Economic Framework

2.1 The focal decision

The decision-maker is the City of Marseille (municipality), specifically its finance directorate and elected council. The focal decision is: which fiscal strategy should Marseille adopt over 2025–2027 to maximise TFPB revenue growth while minimising fiscal, political, and economic risks?

Three strategies are evaluated:

- Strategy A — Rate increase: raise the municipal TFPB rate by +1pp or +2pp
- Strategy B — Vacancy mobilisation: bring structurally vacant dwellings (2+ years) back into the tax base through ANAH partnerships, THLV enforcement, and targeted outreach
- Strategy C — Mixed: combine a moderate rate increase (+1pp) with a 25% vacancy mobilisation target

2.2 Economic channels and mechanisms

The TFPB revenue identity is straightforward: *Revenue = Tax base × Rate*. However, the levers available to Marseille are more constrained than this identity suggests.

On the rate side, Marseille's municipal rate already stands at 44.54% in 2024, one of the highest among French peer cities. A further rate increase faces three constraints. First, Marseille only controls its municipal portion — the Métropole AMP sets its own rate (2.59%) independently, and the total rate (47.13%) already creates a high fiscal burden on property owners. Second, rate increases are politically costly, particularly in northern arrondissements where property values are low and owner-occupiers are financially fragile. Third, the revenue elasticity of a rate increase is mechanically limited: a +1pp increase on a €1.13bn base yields only ~€11M in gross terms, but the net municipal gain is far smaller once the base is corrected for arrondissement-level heterogeneity.

On the base side, two mechanisms can expand revenues without touching the rate. First, natural cadastral base growth occurs annually through the national revalorisation coefficient (forfaitaire), which was +7.1% in 2023 due to inflation. This is exogenous and not directly controllable by the municipality. Second, vacancy mobilisation can bring new taxable units into the base: each structurally vacant dwelling that re-enters the market adds approximately €3,229 of cadastral base (the 2024 average base per article), generating additional TFPB revenue at the current rate.

Feedback effects and constraints include: (i) the risk that aggressive rate increases accelerate out-migration of high-value property owners from the city; (ii) the administrative capacity constraint on vacancy identification and enforcement; (iii) the national cadastral reform (révision des valeurs locatives), which could significantly alter the base structure within the next decade; and (iv) the fiscal dependency on state compensations (allocations compensatrices) that partially offset exoneration costs.

3. Baseline Diagnosis

3.1 TFPB trend analysis and break detection (2013–2024)

Using REI data from the DGFiP (2013–2024), we reconstruct the full TFPB revenue series for Marseille at the municipal level. Three variables are tracked: the net tax base (E11), the voted municipal rate (E12VOTE), and the actual revenue collected (E13).

TFPB revenues more than doubled over the period, rising from approximately €197M in 2013 to €503M in 2024. However, this trajectory is not smooth: two structural breaks are clearly identifiable.

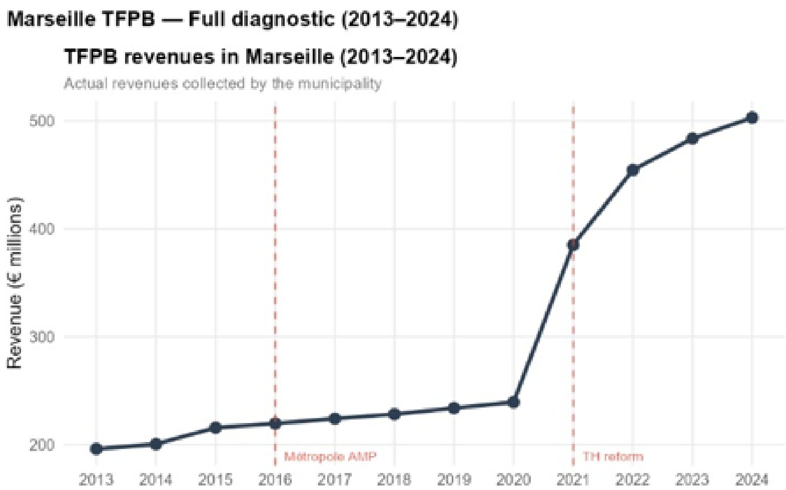


Figure 1 plots the full revenue trajectory and immediately reveals that growth has not been continuous: two sharp inflection points interrupt what might otherwise appear as a smooth upward trend, pointing to institutional rather than organic drivers.

The first break occurs in 2016, coinciding with the creation of the Métropole Aix-Marseille-Provence (AMP). At this institutional moment, the TFPB rate was split between the municipality and the newly created intercommunal structure. The municipal rate fell sharply as a portion was transferred to the Métropole, while the total rate remained broadly stable. This reform did not reduce revenues in absolute terms but changed the governance of the rate-setting process, reducing Marseille's unilateral control.

The second — and more significant — break occurs in 2021, as a direct consequence of the taxe d'habitation reform. Following the complete suppression of TH on primary residences, municipalities were compensated through a reallocation mechanism that effectively transferred TH fiscal room to the TFPB. Marseille's municipal rate jumped from approximately 24% to 44.54% in a single year. This explains the sharp acceleration in revenue growth post-2021: it is almost entirely an institutional artefact rather than a deliberate fiscal strategy.

Decomposing revenue growth into a base effect and a rate effect confirms this interpretation. From 2013 to 2020, revenue growth was modest and driven primarily by slow base expansion. From 2021 onwards, the rate effect dominates overwhelmingly, while base growth remains moderate (averaging +3.5% per year). This decomposition has a critical implication: the rate lever has already been pulled to its institutional maximum. Future revenue growth must come from the base.

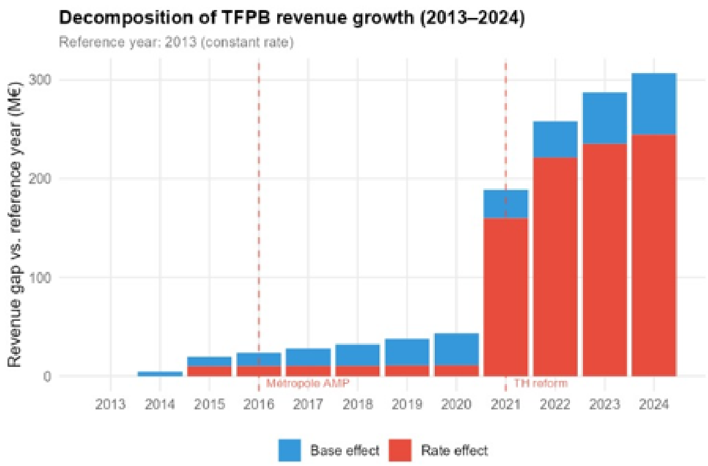


Figure 2 makes this decomposition explicit: the stacked bar chart shows that virtually all revenue gains since 2021 are attributable to the rate effect (red bars), while the base effect (blue bars) has remained modest and stable throughout the period. This has a critical implication: the rate lever has already been pulled to its institutional maximum. Future revenue growth must come from the base.

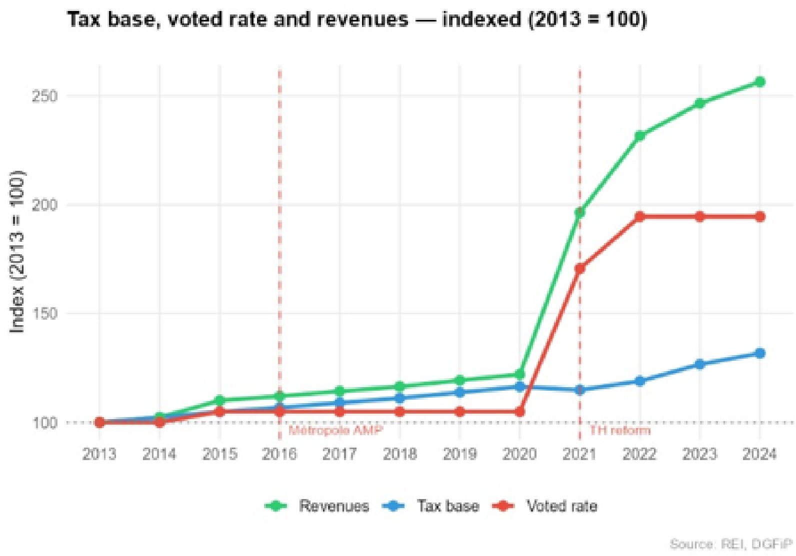


Figure 3 confirms this reading in index form: while revenues have risen to 250 (indexed to 2013), the tax base has grown only modestly to around 130, and the rate has surged to nearly 200 — a pattern that is clearly unsustainable as a long-term fiscal strategy.

The average cadastral base per property (base per article) provides an additional diagnostic. It grew steadily from ~€2,800 in 2013 to ~€3,229 in 2024, with a notable acceleration in 2023 reflecting the national +7.1% revalorisation. This suggests that organic base growth is alive but insufficient on its own to generate meaningful additional revenue.

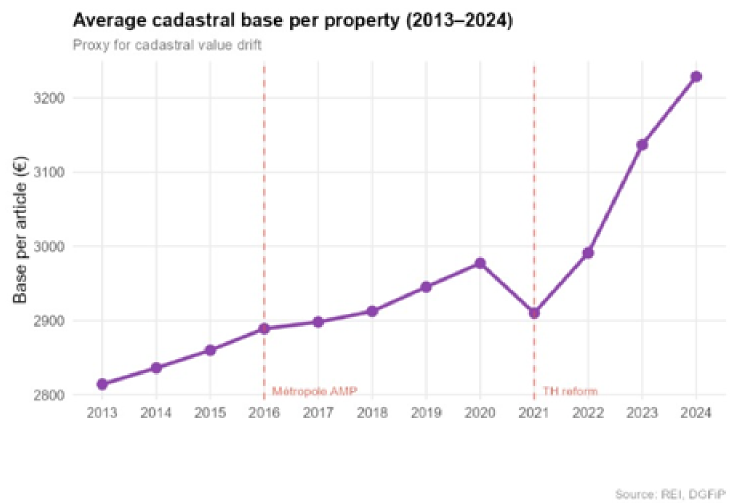


Figure 4 tracks this evolution and reveals a structural dip in 2021 — likely reflecting the reassessment of the base following the TH reform — before a sharp recovery driven by inflation-linked revalorisation in 2022–2023. This suggests that organic base growth is alive but insufficient on its own to generate meaningful additional revenue.

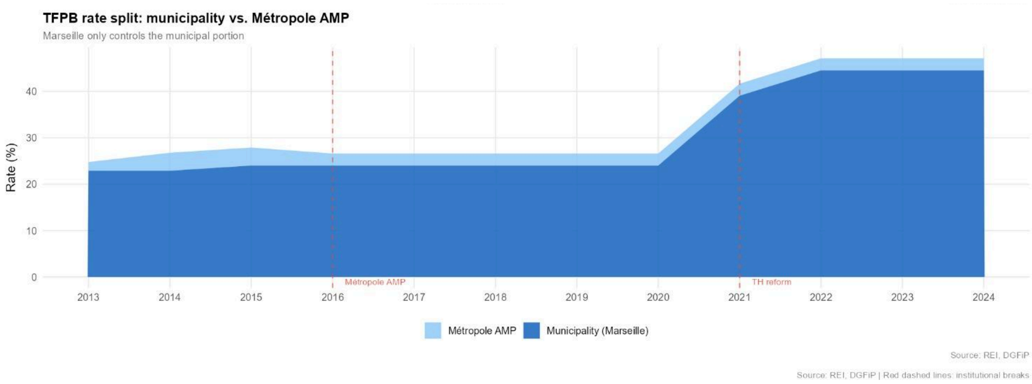


Figure 5 illustrates the governance constraint that underpins the entire analysis: Marseille only controls the dark blue (municipal) portion of the total rate. The light blue Métropole AMP portion is set independently, meaning the effective rate ceiling for the municipality is structurally lower than the total rate suggests.

3.2 Structural vacancy analysis (LOVAC 2020–2024)

LOVAC data reveals that Marseille had 55,107 vacant private dwellings in 2024, representing a total vacancy rate of 14% — the highest among all peer cities examined (Lille, Paris, Nice, Lyon, Bordeaux, Montpellier). Of these, 14,529 are structurally vacant (unoccupied for 2+ years), representing 4.0% of the private housing stock.

LOVAC — Fiscal summary

Period covered: 2020–2024

Year	Tax base (M€)	Commune rate (%)	Metro rate (%)	Total rate (%)	Revenue (M€)	Tax units	Base per unit (€)	Structural vacant dwellings	Structural vacancy rate (%)	Foregone revenue (M€)	Potential gain (M€)
2020	996.9	24.02	2.59	26.61	239.3	334,826	2,977	11,613	3.00	9.2	2.3
2021	983.5	39.07	2.59	41.66	385.0	337,969	2,910	11,729	3.00	14.2	3.6
2022	1,018.4	44.54	2.59	47.13	454.3	340,483	2,991	10,812	3.00	15.2	3.8
2023	1,084.5	44.54	2.59	47.13	483.5	345,728	3,137	10,718	3.00	15.8	4.0
2024	**1,128.5**	**44.54**	**2.59**	**47.13**	**502.9**	**349,502**	**3,229**	**14,529**	**4.00**	**22.1**	**5.5**

Source: LOVAC open data, CEREMA / DGFiP

Table 1 summarises the evolution of key LOVAC indicators from 2020 to 2024. Three figures stand out immediately: the structural vacancy stock has grown from 11,613 to 14,529 dwellings; the foregone revenue has more than doubled from €9.2M to €22.1M; and the potential gain from full mobilisation has reached €5.5M — a figure that dwarfs any realistic rate increase.

The structural vacancy rate has risen sharply: from a stable 3.0% over 2020–2023 to 4.0% in 2024 — a 33% increase in a single year. This trajectory is alarming and places Marseille above all peer cities in terms of structural vacancy. Lyon, Bordeaux, and Montpellier all maintain structural vacancy rates of 2.0%, while Paris and Nice stand at 3.0%.

LOVAC — Vacant private dwellings, peer cities

Year 2024 · Marseille aggregated from 16 arrondissements

City[1]	Private stock	Vacant (total)	Structural (2+ yr)	Frictional (<2 yr)	Vacancy rate	Structural rate	Frictional rate	% structural
Marseille	**400,146**	**55,107**	**14,529**	**40,578**	**14.0%**	**4.0%**	**10.0%**	**26.0%**
Lille	116,789	16,743	4,338	12,405	14.0%	4.0%	11.0%	26.0%
Paris	1,125,864	142,848	32,091	110,757	13.0%	3.0%	10.0%	22.0%
Nice	222,449	27,120	6,227	20,893	12.0%	3.0%	9.0%	23.0%
Lyon	262,154	29,649	5,590	24,059	11.0%	2.0%	9.0%	19.0%
Bordeaux	149,825	20,620	3,613	17,007	14.0%	2.0%	11.0%	18.0%
Montpellier	150,201	17,563	3,634	13,929	12.0%	2.0%	9.0%	21.0%

[1] Marseille: sum of arrondissements 13201–13216. Paris: 75101–75120. Lyon: 69381–69389.

Source: LOVAC open data, CEREMA / DGFiP

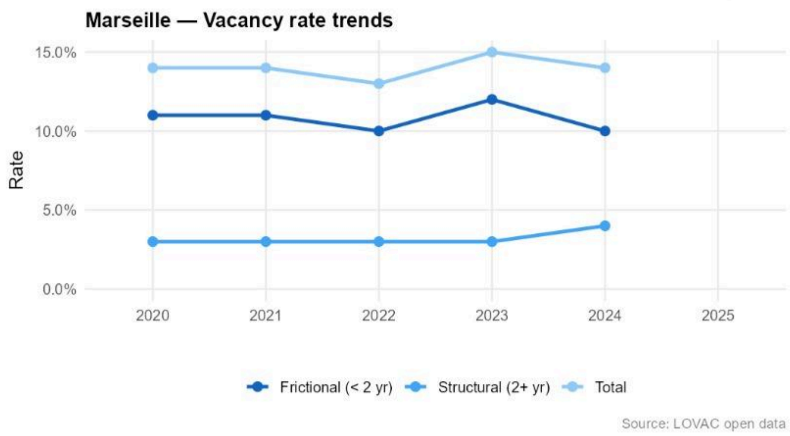


Table 2 and **Figure 6** place Marseille in comparative perspective. While the total vacancy rate (14%) is matched by Lille, Marseille's structural vacancy rate (4%) is the joint highest, and its upward trend since 2023 is unique among peers — all other cities have remained flat or declined. This divergence is the diagnostic signal that motivates the vacancy mobilisation strategy.

Geographic heterogeneity is pronounced. Arrondissements 2, 3, 1, and 14 — all located in the northern and central areas of the city — exhibit structural vacancy rates of 6–7%, while southern arrondissements (9e, 12e, 13e) remain below 2.5%. This spatial concentration has important policy implications: vacancy mobilisation interventions should be geographically targeted rather than city-wide.

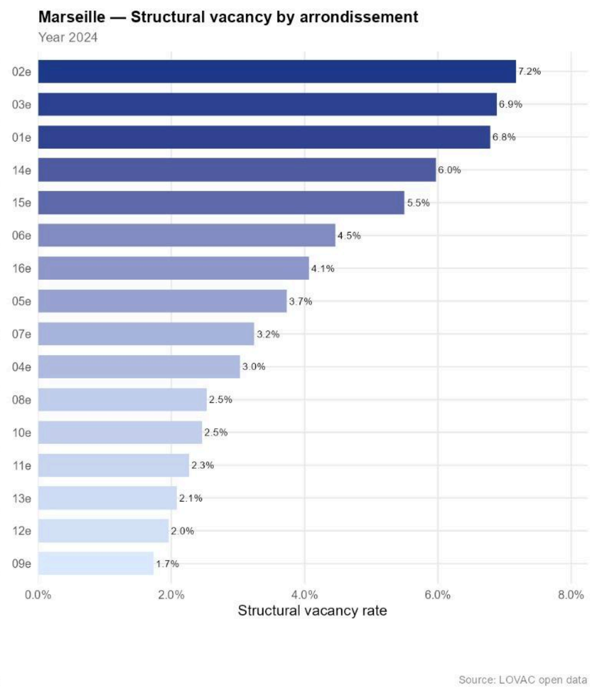


Figure 7 maps this geographic heterogeneity. The concentration of structural vacancy in the northern arrondissements is striking: the 2e alone reaches 7.2%, more than three times the rate observed in the 9e. This spatial pattern is not random — it reflects decades of housing market neglect in Marseille's most deprived neighbourhoods, and it defines where vacancy mobilisation policy should be targeted.

The fiscal cost of this vacancy is substantial. At current rates and average base per unit, the 14,529 structurally vacant dwellings represent €22.1M in foregone annual TFPB revenue — up from €9.2M in 2020. This figure provides the upper bound of the vacancy mobilisation opportunity.

4. Prospective Methods

4.1 Signpost Monitoring

To widen the analysis beyond historical trends, we identify five key external uncertainty factors that could materially affect TFPB revenues over the next three years. For each factor, we define observable signposts and alert thresholds.

Uncertainty factor	Signpost	Alert threshold	Strategic implication
Cadastral revaluation reform	Parliamentary calendar; DGFiP simulation reports	Reform enacted with < 3 year horizon	Accelerate base modernisation strategy before reform locks in new values
Real estate market	DVF transaction volumes; Notaires de France price index	Price decline >5% OR volume drop >15%	Reduce reliance on base growth; prioritise rate or vacancy levers
State grants (DGF)	PLF budget law DGF allocation; OFGL fiscal reports	DGF cut >3% in real terms	Increase urgency of vacancy mobilisation to offset grant losses
Structural vacancy	LOVAC annual update: structural vacancy stock	Structural rate > 4.5% OR stock >16,000 units	Intensify ANAH partnerships and vacancy taxation enforcement
TLV extension	JORF decrees; DGCL circulars	TLV extended to > 50% of Marseille arrondissements	Rebalance toward rate increase if vacancy taxation revenue declines

Table 3 structures these uncertainty factors systematically. Rather than attempting to forecast which of these events will materialise, the signpost approach defines in advance the observable indicators that would signal a change in the strategic environment — and the corresponding adjustments that the municipality should make. This transforms uncertainty from a paralysing constraint into a manageable decision framework.

The most time-sensitive signpost is the structural vacancy threshold: with the stock already at 14,529 units and growing rapidly, the alert level of 16,000 could be reached within one to two years. The cadastral reform calendar is the second most critical: if enacted within a three-year horizon, Marseille should accelerate vacancy remobilisation before new cadastral values alter the fiscal calculus.

4.2 Monte Carlo Simulation

To test the robustness of each strategy under uncertainty, we run a Monte Carlo simulation with 10,000 draws over a three-year horizon (2025–2027). Three parameters are treated as stochastic: (i) annual base growth rate (mean 3.5%, sd 2.0%, reflecting cadastral revalorisation uncertainty); (ii) vacancy mobilisation rate (mean 25%, sd 10%); and (iii) a random rate collection shock (mean 0, sd 0.5pp).

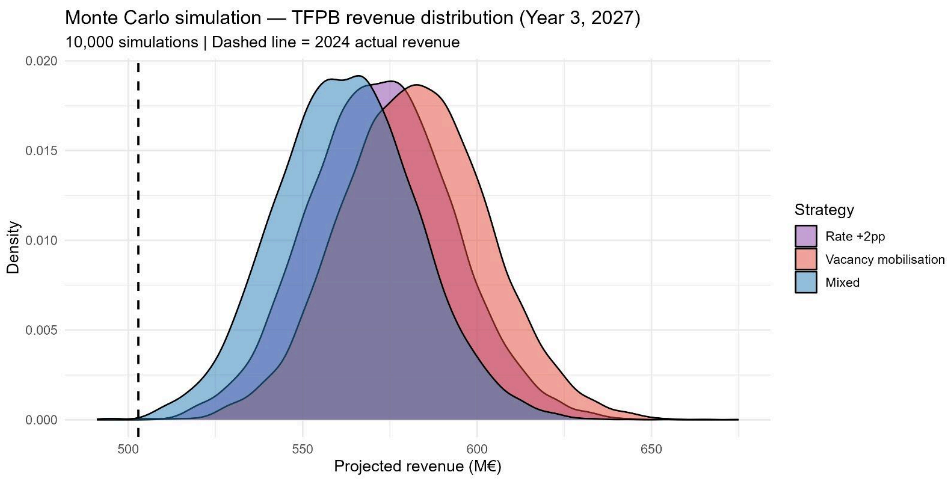


Figure 8 presents the revenue distributions for each strategy in Year 3 (2027). The three distributions are visibly separated: the vacancy strategy (orange) lies entirely to the right of the rate strategy (purple), with the mixed strategy (blue) occupying an intermediate position. This stochastic dominance is not a marginal result — it holds across the entire support of the distribution, meaning that vacancy mobilisation outperforms rate increases not just on average but in virtually every simulated scenario.

Results for Year 3 (2027) show three clearly separated revenue distributions. The vacancy mobilisation strategy generates a distribution centred around €590M, the mixed strategy around €570M, and the rate-only strategy around €550M. The vacancy strategy stochastically dominates the rate strategy: its entire distribution lies to the right. The mixed strategy offers a good balance, with lower variance than the pure vacancy strategy and substantially higher expected revenue than the rate-only approach.

The probability of exceeding 2024 actual revenue (€502.9M) is above 95% for all three strategies, confirming that the status quo is not at risk. The key distinction between strategies lies in the magnitude of the revenue gain, not its direction.

4.3 Scenario Exercise

We construct four contrasted scenarios combining the key uncertainty factors identified in the signpost analysis. Each scenario is evaluated over 2025–2027 for all three strategies.

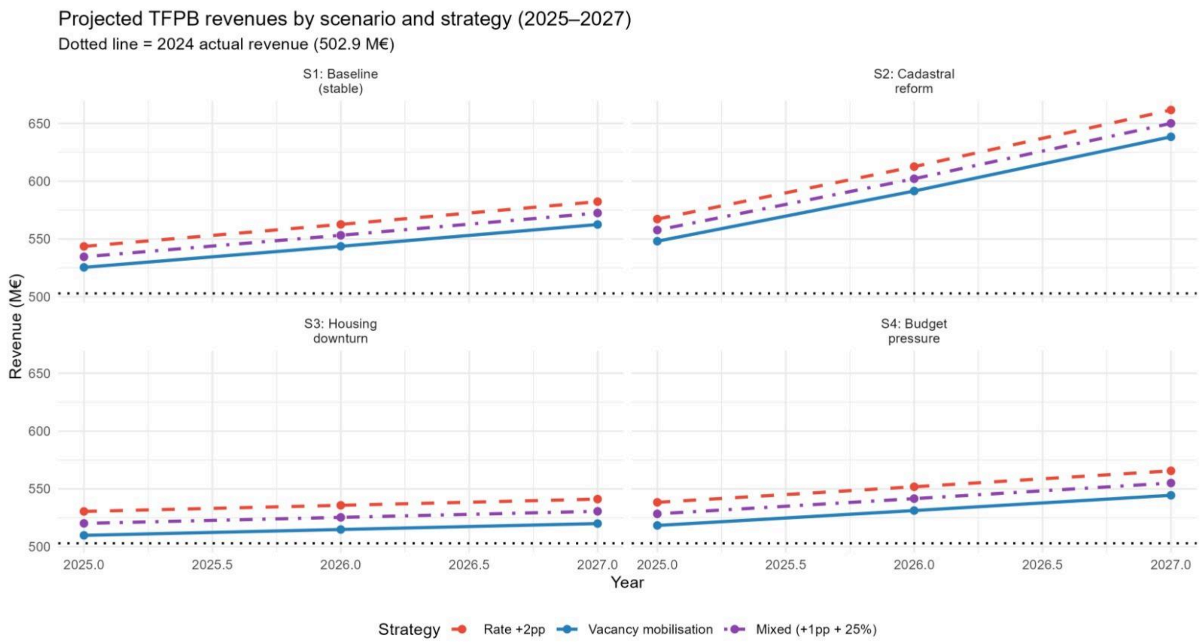


Figure 9 overlays the three strategy trajectories across the four scenarios. Two patterns are immediately apparent: the rate strategy (dashed red line) consistently sits below the other two in every panel, and the mixed strategy (dot-dash purple) tracks closely with vacancy mobilisation in favourable scenarios while providing better downside protection in adverse ones. The scenario exercise thus performs a stress test on the Monte Carlo result: the hierarchy of strategies is not an artefact of distributional assumptions — it holds under qualitatively different futures.

S1 — Baseline (stable macro): base growth of +3.5% per year, 25% vacancy mobilisation achievable, DGF stable. Under this scenario, vacancy mobilisation reaches ~€585M by 2027, the mixed strategy ~€570M, and rate increase ~€555M.

S2 — Cadastral reform: national revaluation enacted, base grows at +8% per year. All strategies benefit, but vacancy mobilisation gains disproportionately as the base per remobilised unit increases. Projected revenues reach €640–655M by 2027 under vacancy or mixed strategies.

S3 — Housing downturn: price decline reduces transaction volumes, DGF cut of -3%, vacancy mobilisation rate falls to 10% due to weak market. This is the most adverse scenario. The mixed strategy becomes the best performer (~€560M), as the +1pp rate partially compensates for the reduced vacancy gain. The pure vacancy strategy underperforms relative to baseline.

S4 — Budget pressure: DGF cut of -5%, moderate base growth of +2.5%. Revenue projections are compressed across all strategies, but the mixed strategy remains the most robust (~€550M by 2027).

Across all four scenarios, two conclusions are robust: (i) the rate-only strategy is never the best-performing option; (ii) the mixed strategy is never the worst-performing option. This cross-scenario dominance of the mixed strategy forms the empirical basis for our recommendation.

5. Recommendation and Monitoring Plan

5.1 Recommended strategy

We recommend that the City of Marseille adopt the mixed strategy: a +1pp municipal rate increase combined with a 25% structural vacancy mobilisation target over 2025–2027.

This recommendation rests on four pillars.

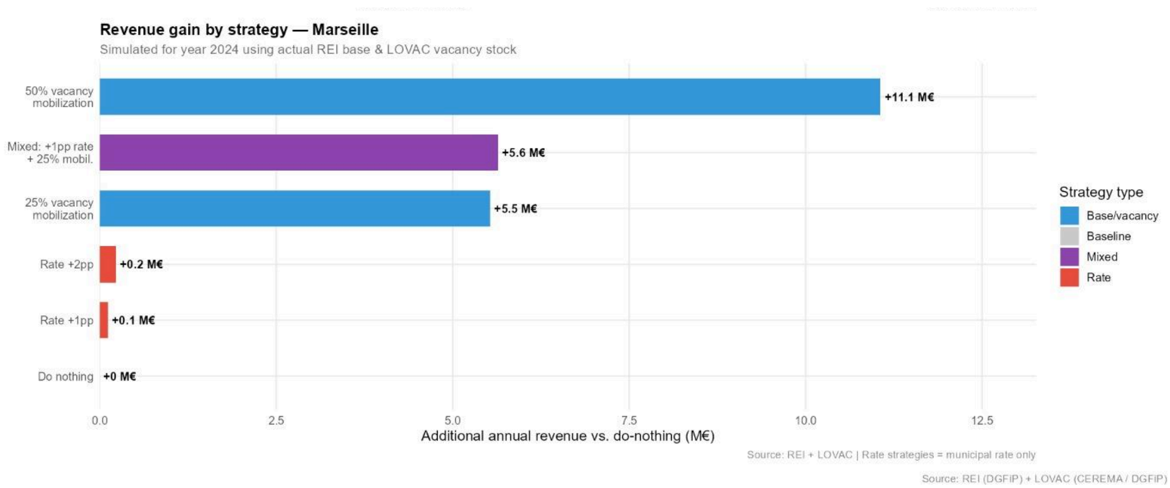


Figure 10 provides the clearest summary of the empirical case. The bar chart ranks all strategies by additional annual revenue generated relative to the do-nothing baseline. The result is unambiguous: a 50% vacancy mobilisation generates +€11.1M, the mixed strategy +€5.6M, and 25% vacancy mobilisation alone +€5.5M — while rate increases of +1pp and +2pp yield only +€0.1M and +€0.2M respectively. The rate lever is not just inferior — it is an order of magnitude less effective than vacancy mobilisation.

Empirical dominance. The REI×LOVAC microsimulation shows that mobilising 25% of structurally vacant dwellings generates +€5.5M per year — 27 times more than a +2pp rate hike (+€0.2M). The revenue gap between strategies is not marginal: it reflects a fundamental asymmetry between a base that is underexploited (14,529 vacant units, €22.1M foregone) and a rate that is already near its effective ceiling (44.54%, highest among peers alongside Lille).

Probabilistic robustness. The Monte Carlo simulation confirms that the vacancy and mixed strategies stochastically dominate the rate-only strategy. The mixed strategy minimises downside risk while preserving most of the vacancy upside, making it the preferred choice under uncertainty.

Cross-scenario stability. The mixed strategy is the only option that avoids being the worst performer in any of the four scenarios examined. In the most adverse scenario (S3 — housing downturn), it outperforms the pure vacancy strategy precisely because the rate component provides a revenue floor independent of mobilisation success.

Political and institutional feasibility. A +1pp rate increase is modest and defensible politically, particularly if framed as a complement to — rather than a substitute for — vacancy action. In contrast, a +2pp increase would be the fourth major rate shock in a decade and risks triggering adverse reactions from property owners in already fragile northern arrondissements. The vacancy mobilisation component, implemented through ANAH partnerships and THLV enforcement, is consistent with existing national housing policy frameworks and does not require new legislative authority.

Implementation priorities. Vacancy mobilisation should be geographically concentrated in arrondissements 1, 2, 3, and 14, where structural vacancy rates reach 6–7%. The municipality should (i) strengthen partnerships with ANAH to subsidise renovation of long-vacant units; (ii) enforce THLV (taxe d'habitation sur les logements vacants) more systematically, particularly for units vacant for more than three years; and (iii) launch a targeted outreach programme to owners of structurally vacant properties, offering fiscal incentives for remobilisation within a defined timeframe.

5.2 Monitoring plan

The following six indicators should be tracked to evaluate strategy implementation and trigger revision if needed.

Indicator	Source	Frequency	Alert threshold	Action if triggered
Structural vacancy stock	LOVAC	Annual	>16,000 units	Escalate to 50% mobilisation target
Structural vacancy rate	LOVAC	Annual	>4.5%	Intensify ANAH and THLV enforcement
Actual vs. projected TFPB revenues	REI/DGFiP	Annual	Deviation >5%	Review rate and base assumptions
Base nette growth per article	REI	Annual	<2% annual growth	Reassess cadastral revalorisation impact
Cadastral reform advancement	JORF/DGFiP	Biannual	Bill tabled in Parliament	Accelerate vacancy action before new values locked
ANAH mobilisation rate	ANAH	Biannual	<10% of targeted units	Review partnership terms and incentive structure

Table 4 formalises the monitoring framework. Each indicator is paired with a source, a review frequency, a quantitative alert threshold, and a prescribed action. This structure ensures that the recommendation does not become a static document: it defines in advance the conditions under which the municipality should revise its strategy, making the monitoring plan an operational decision tool rather than a reporting exercise.

If the vacancy stock threshold (>16,000 units) is breached, the municipality should escalate to a 50% mobilisation target and consider additional fiscal tools, including a higher THLV surcharge on long-term vacants. If the cadastral reform is enacted within a three-year horizon, the base modernisation component of the strategy should be accelerated immediately, as new cadastral values will alter the fiscal calculus for all three strategies.

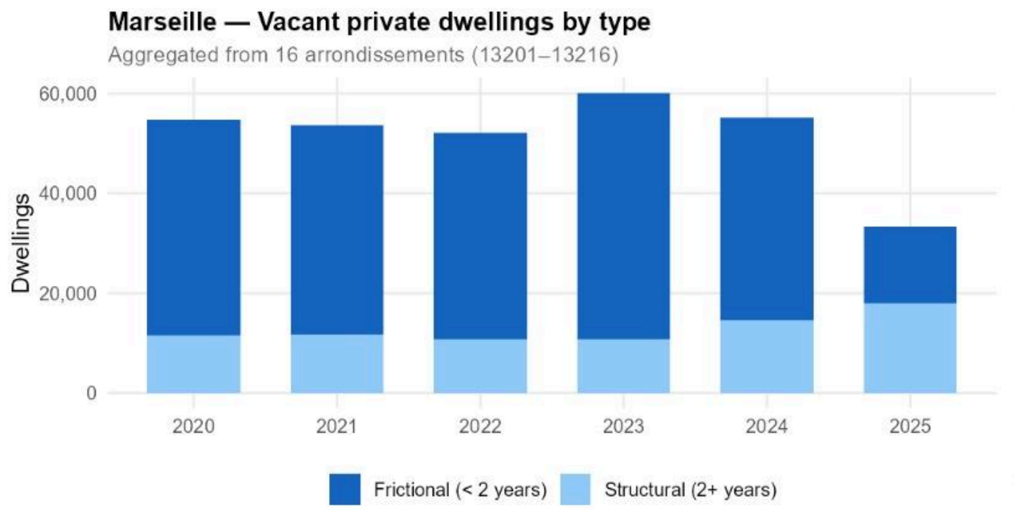
6. Conclusion

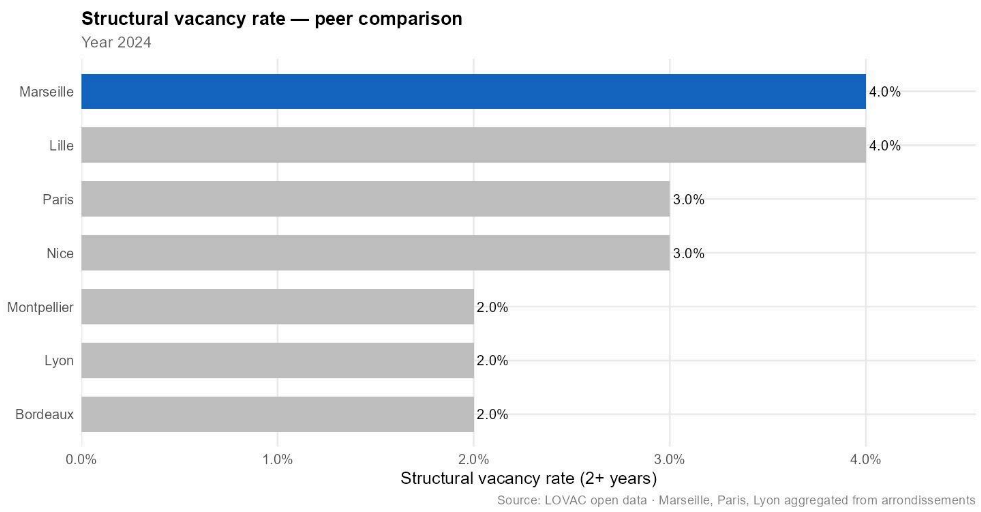
Marseille's TFPB strategy over 2025–2027 must navigate a constrained fiscal environment shaped by institutional history, structural housing market failures, and national reform uncertainty. Our analysis shows that the rate lever is largely exhausted: the municipal rate stands at 44.54% following the TH reform, and further increases yield only marginal revenue gains at significant political cost.

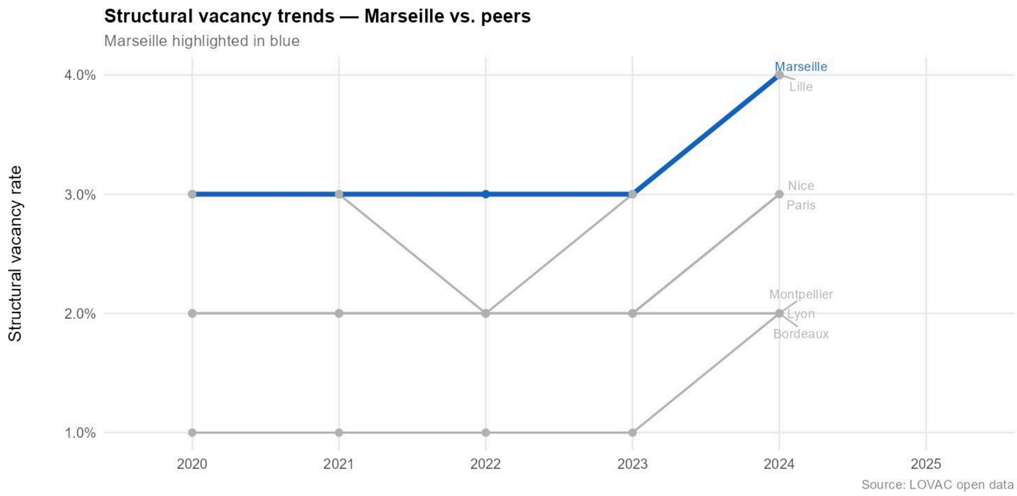
The real opportunity lies in the tax base. With 14,529 structurally vacant dwellings representing €22.1M in foregone annual revenue — and a vacancy rate that jumped from 3% to 4% in a single year — Marseille faces both a challenge and an opportunity. Mobilising even 25% of these units would generate more additional revenue than any feasible rate increase.

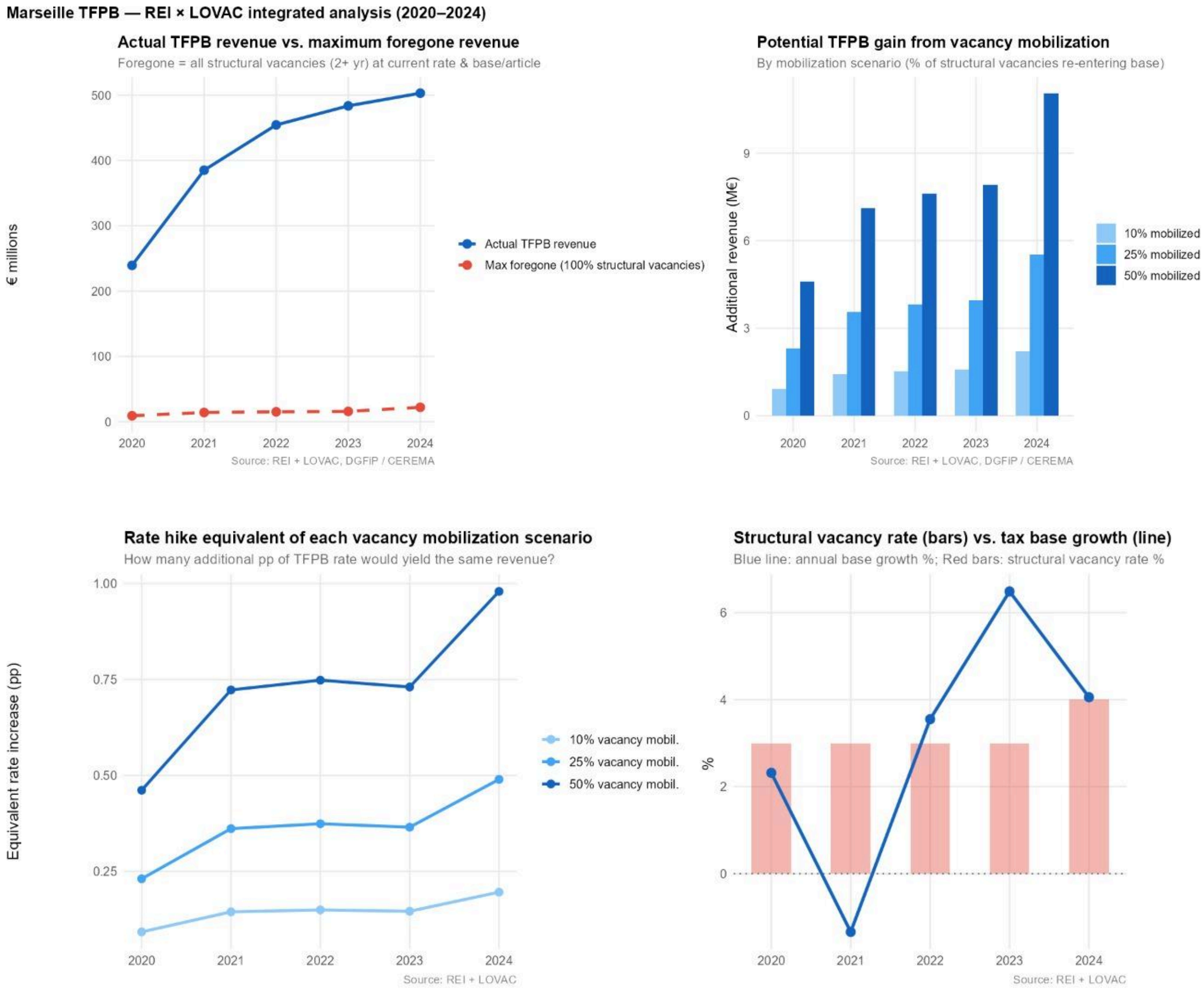
Under uncertainty, the mixed strategy dominates. It combines the revenue potential of vacancy mobilisation with the stability of a modest rate adjustment, and it remains robust across all scenarios examined — from cadastral reform to housing downturns. It is our recommended course of action, subject to the monitoring indicators defined above and ready for revision as the uncertainty landscape evolves.

Appendix






Structural vacancy trends — Marseille vs. peers
Marseille highlighted in blue
Structural vacancy rate
4.0%
3.0%
2.0%
1.0%
2020
2021
2022
2023
2024
2025
Marseille
Lille
Nice
Paris
Montpellier
Lyon
Bordeaux
Source: LOVAC open data


Marseille TFPB — REI × LOVAC integrated analysis (2020–2024)
Actual TFPB revenue vs. maximum foregone revenue
Foregone = all structural vacancies (2+ yr) at current rate & base/article
€ millions
Actual TFPB revenue
Max foregone (100% structural vacancies)
Source: REI + LOVAC, DGFIP / CEREMA
Potential TFPB gain from vacancy mobilization
By mobilization scenario (% of structural vacancies re-entering base)
Additional revenue (M€)
10% mobilized
25% mobilized
50% mobilized
Source: REI + LOVAC, DGFIP / CEREMA
Rate hike equivalent of each vacancy mobilization scenario
How many additional pp of TFPB rate would yield the same revenue?
Equivalent rate increase (pp)
10% vacancy mobil.
25% vacancy mobil.
50% vacancy mobil.
Source: REI + LOVAC
Structural vacancy rate (bars) vs. tax base growth (line)
Blue line: annual base growth %; Red bars: structural vacancy rate %
%
Source: REI + LOVAC

Monte Carlo summary statistics

Year 3 (2027)

Strategy	Mean (M€)	Median (M€)	P10 (M€)	P90 (M€)	SD (M€)	P(beat 2024, %)
Mixed	572.5	572.3	546.5	598.5	20.4	100.0
Rate_hike	582.3	582.2	556.0	608.8	20.7	100.0
Vacancy	562.5	562.4	536.9	588.0	20.1	99.9

Projected TFPB revenue in Year 3 (2027)

By scenario and strategy

Scenario	Rate +2pp (M€)	Vacancy mobil. (M€)	Mixed (M€)
S1: Baseline (stable)	582.3	562.5	572.5
S2: Cadastral reform	661.6	638.4	650.1
S3: Housing downturn	541.1	519.9	530.6
S4: Budget pressure	565.6	544.4	555.0